

today? *It was in the late 1600s/early 1700s, near the last Grand Supercycle peak.* Though it appears unthinkable, I expect that the seemingly permanent options market will ultimately fade from popularity once again, to return centuries hence.

Is Indexing a Magic Answer?

An index fund is one that moves exactly with a market index, such as the S&P 500. While index funds are a good vehicle for market timers, they are not the answer to everyone's dreams. The selectivity of Cycle wave V, as revealed by its lackluster breadth, has prompted many money managers to give up on stock selection to outperform the averages. They have "indexed" their portfolios, i.e., bought stocks in the S&P 500 in order merely to match the performance of "the market." One of today's great ironies is that the newly-popular "indexing" requires being *fully invested*, when in fact the thin breadth, like that of the 1920s, is a long term warning signal that you should become fully *uninvested*.

The very popularity of indexing is a statement that investors take the long term uptrend for granted. Countless market professionals have stated incorrectly that the criterion for performance is whether one has "beaten (or matched) the market," a view that can only be comfortably held for a particular market when prices have risen for a long time. This goal may pertain to fund managers who pledge to remain fully invested in order to allow *investors* to decide whether to be in or out of the market via their funds. However, the correct goal of every investor is *making and keeping money*, an entirely different thing.

Buying an index fund was a great idea 13 years ago, 7 years ago and even 4½ years ago, when such funds were not popular. Index funds are popular now because they *were* a good investment, and because they *are* a bad investment, i.e., one that investors desire because of recent past performance. Now that many fund managers are comfortably indexed, they will find themselves indexed to a bear market. By the time the bear market enters its final stages, indexing will be scorned, and market timing will be back, more popular than ever. Then it will be time to buy and hold.

Is Diversification a Magic Answer?

As the argument for diversification goes, an investor should not restrict himself to owning domestic stocks and bonds, but he should also buy stocks and bonds of as many other types and from